

Price discrimination



A firm sells razors for \$3 a pack, and its customers show considerable variation: those who value a close shave might be ready to shell out \$4, while for others, \$3 is the upper limit of what they are willing to pay. Is there a way for the firm to discriminate between these two kinds of consumers, in order to charge them different prices? If it could charge the particularly close-shaven men \$4 and the rest \$3 then it could boost its profits.

This sort of 'price discrimination' can be hard to do: even if the firm could distinguish between the groups, the less fastidious men could buy the \$3 razors and sell them to the close-shaven men for \$3.99. So successful price discrimination requires that different groups of consumers can be identified *and separated* so that one group can't just sell on the good. Student and pensioner reductions for haircuts are one example: concession

status indicates that a person may be less willing to pay than average, but a service such as a haircut cannot be sold on.